



Report No: RES01143

RESTRUCTURING PAPER
ON A
PROPOSED PROJECT RESTRUCTURING
OF

Matanza-Riachuelo Basin Sustainable Development Project

APPROVED ON 09-Jun-2009

TO
Argentine Republic

Water
Latin America And Caribbean

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ABBREVIATIONS AND ACRONYMS

ACUMAR	Matanza Riachuelo River Basin Authority (<i>Autoridad de Cuenca de Matanza Riachuelo</i>)
AF	Additional Financing
AYSA	Water and Sanitation Utility for the Metropolitan Area of Buenos Aires (<i>Aguas y Saneamientos Argentinos</i>)
E&S	Environmental and Social
M-R	Matanza Riachuelo
PDO	Project Development Objective
PIC	Tannery Industrial Park (<i>Parque Industrial Curtidor</i>)
PTELI	Industrial Wastewater Treatment Plant (<i>Planta de Tratamiento de Efluentes Líquidos Industriales</i>)
WWTP	Wastewater Treatment Plant

**BASIC DATA****Product Information**

Operation ID P105680	Operation Name Matanza-Riachuelo Basin Sustainable Development Project
Product/Financing Instrument Investment Project Financing (IPF)	Geographical Identifier Argentina
Approval Date 09-Jun-2009	Current Closing Date 30-Sep-2025
Original EA Category Full Assessment (A) (PAD Approval Package-09 Jun 2009)	

Organizations

Borrower Argentine Republic	Responsible Agency Secretariat of Public Works, Unidad Coordinadora General del Proyecto (UCGP)
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OPERATION STATUS**Project Development Objective (DO)**

Current Development Objective

The overall development objective of the proposed APL program supports the Government's Integrated Basin Cleanup while simultaneously improving sanitary conditions along the banks of La Plata River and providing a long-term and cost-effective solution for safe disposal of wastewater from the Buenos Aires Metropolitan Area (AySAs concession area). The two stage APL program that contributes to this objective and the allocation of works and activities under each APL has been specifically designed to ensure that APL-1 can be free-standing, with no stranded assets at the end of the first stage.

The project (APL-1) development objectives contribute to the overall program development objective by (i) improving sewerage services in the M-R River Basin and other parts of the Province and City of Buenos Aires by expanding



transport and treatment capacity; (ii) supporting a reduction of industrial discharges to the M-R River, through the provision of industrial conversion grants to small and medium enterprises; (iii) promoting improved decision-making for environmentally-sustainable land use and drainage planning, and piloting urban drainage and land use investments, in the M-R River Basin; and (iv) strengthening ACUMAR's institutional framework for ongoing and sustainable clean-up of the M-R River Basin.

Disbursement Summary (in USD million)

Source of Funds	Net Commitment	Disbursed	Undisbursed	% Disbursed
IBRD	1,228.03	1,216.25	11.78	99.04
IDA	--	--	--	0
Grants	--	--	--	0

Policy Waivers

Does this restructuring trigger the need for any policy waiver(s)?

No



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I. PROJECT STATUS AND RATIONALE FOR RESTRUCTURING

1. This Restructuring Paper seeks the approval of the Regional Vice-President of a Level Two Restructuring for an extension of the closing date of the Argentina Matanza-Riachuelo Basin Sustainable Development Project (P105680). This is the seventh restructuring and fifth extension of the Project and includes (i) extending the Project closing date by 6 months from September 30, 2025, to March 31, 2026, and the accompanying changes to this extension: (ii) adjusting the results framework, (iii) updating disbursement estimates, and (iv) revising the implementation schedule. The proposed restructuring is necessary to finalize key infrastructure works allowing Bank's safeguards policies compliance and orderly closing of the Project.

2. The Project consists of three IBRD loans, totaling US\$1.228 billion - for a total project cost, including counterpart funding, of US\$1.483 billion. The initial financing of US\$840 million (IBRD Loan 7706), was approved by the Board of Executive Directors on June 9, 2009, and became effective on July 20, 2010. A first Additional Financing (AF) for US\$245 million (IBRD Loan 9008) was approved on September 5, 2019. A second AF of US\$265 million (IBRD Loan 9252) was approved on June 1, 2021. The Project comprises four components: enhancing sewerage services (Component 1), reducing industrial wastewater discharges (Component 2), improving environmental territorial management (Component 3), and strengthening institutions (Component 4).

A. OVERALL PROJECT STATUS

3. The Project is currently rated as Moderately Satisfactory for both implementation progress and advancement towards its development objective, with three out of five indicators met. The completion of the Riachuelo Wastewater Treatment Plant (WWTP) and the entire Riachuelo System under Component 1 is scheduled for the end of August 2025; this is expected to enable achievement of the fourth indicator-volume of sewage adequately treated-within the first months of operation. The fifth indicator, concerning reduction of industrial pollution, depends on the finalization and operation of the industrial WWTP (PTELI for its Spanish acronym) contract under Component 2.

4. Although the two key infrastructures under construction (Riachuelo WWTP and PTELI) have suffered delays, the Project has reached important milestones. Currently, the Riachuelo System (Lots 1, 2, and 3) under Component 1 is being tested with sewage effluent, under conditions similar to the system's final operational state. This system is already showing important benefits, decreasing the pressure on the existing sewerage network and avoiding overflows. Under Component 2, current investments will help manage pollution discharges from the tannery sector, a major source of industrial wastewater in the basin. The Tannery Industrial Park (PIC, due to its Spanish acronym) was finalized in October 2023, and PTELI's physical implementation progress was at 90 percent as of June 30, 2025, with works expected to be completed by March 2026. ACUMAR has been working closely with the tannery association on the development of the operating regulations and processes needed to enable the operation of the PIC.

5. High government commitment and disbursement reflect the advanced status of implementation, but the restricted budget space and past difficulties with accessing foreign currency have affected implementation. The three loans are fully committed, with an overall disbursement rate of 99 percent (US\$1.2 billion). However, the on-going implementation of Argentina's stabilization program has limited the allocation of budget to public investments, thus negatively impacting the timeliness and funding needs, which have prevented the Riachuelo WWTP contract under



Component 1 (Lot 2) and the PTELI contract under Component 2 from progressing as planned. Partial budget increments are allowing the contracts to continue advancing.

6. Financial Management (FM) and Procurement are rated as Moderately Satisfactory. The Project Implementation Unit continues to have acceptable FM arrangements in place for project implementation. There are no outstanding or unsatisfactory audit reports to the Bank at this stage.

7. The Project is in full compliance with its Environmental and Social (E&S) Safeguards instruments. The Project has been rated Moderately Satisfactory in its compliance with the E&S Safeguards policies and continues to have a well-established E&S management supervision scheme for the whole project. The Bank's team will continue to closely monitor the remaining works throughout the extension, ensuring safeguards' requirements are successfully completed before loan closure.

B. RATIONALE FOR PROJECT RESTRUCTURING

8. A six-month extension is expected to be sufficient to ensure satisfactory completion of the Project. The extension will cover the initial operation of the Riachuelo system, allowing the achievement of the fourth PDO indicator. Additionally, it will cover the finalization of the construction of PTELI (excluding the operation of the plant). The extension will compensate for the delays incurred since the beginning of the implementation of the stabilization program. The Borrower has expressed its commitment to finalizing the activities.

9. The six-month extension will enable complete key construction to reduce industrial pollution in the basin and allow orderly closure of the Project, including complying with safeguard requirements (as per the project's EIA/ESMP) and without the need to prepare and monitor an E&S commitment plan (ESCP) after loan closure. Although the extension will only cover the conclusion of PTELI's construction (excluding the operation of the plant), it will support the design of a sustainability plan to ensure the long-term sustainability of this infrastructure by minimizing any potential E&S Risk. The full operation of PTELI will take several years as it involves voluntary relocation of multiple small and midsize tanneries. The extension will allow for completion of civil works, and also the development of a sustainability plan to include, among others, agreement on the discharging point (formalizing the connection with an existing WWTP managed by the local utility, AySA), the transfer of medium and small tanneries to the PIC, and connections with neighboring leather companies, following the relevant World Bank Environmental, Health, and Safety Guidelines. The sustainability plan will also include an E&S screening and E&S requirements for design and completion of the pending activities. The extension is needed to ensure continued monitoring and support for Project activities through to full completion, in compliance with the World Bank's safeguards instruments.

II. DESCRIPTION OF PROPOSED CHANGES

10. Extend the loan closing date. The Project closing date will be extended by 6 months from September 30, 2025, to March 31, 2026, to allow the completion of ongoing key contracts and activities, as well as an orderly closing of the Project. This would be the fifth extension of the closing date. The Borrower's performance is satisfactory considering the great advance of this very complex project. The Borrower and the Bank have agreed on an action plan to complete the Project. The Borrower has committed to completing the Project.

11. Accompanying adjustments to the loan closing date. The restructuring will also adjust the Results Framework to reflect the new closing date for the achievement of the end targets; the disbursement estimates to ensure that



projections accurately reflect the extended project timeline; and the implementation schedule to align with the revised closing date.

III. PROPOSED CHANGES

Operation Information	Proposed Changes	Operation Information	Proposed Changes
Results	Yes	Loan Closing Date Extension	Yes
Disbursements Estimates	Yes	Implementation Schedule	Yes
Development Objective	No	Loan Cancellations	No
Safeguard Policies Triggered	No	Reallocations	No
ISDS	No	Financial Management	No
MFD/PCE	No	Procurement	No
Risks	No	Institutional Arrangement	No
Legal Covenants	No		
Conditions	No		
Implementation Modalities	No		
Disbursements Arrangements	No		
DDO	No		
Clients	No		
Appraisal Summary	No		
Components	No		

IV. DETAILED CHANGE(S)

COSTS & FINANCING

Private Capital Facilitation

Is this an MFD-Enabling Project (MFD-EP)?

Is this project Private Capital Enabling (PCE)?



LOANS

Loan Closing

Loan/Credit/Trust Fund	Status	Original Closing	Revised Closing(s)	Proposed Closing	Proposed Deadline for Withdrawal Applications
IBRD-77060	Effective	31-Mar-2016	30-Sep-2025	31-Mar-2026	31-Jul-2026
IBRD-90080	Effective	31-Mar-2022	30-Sep-2025	31-Mar-2026	31-Jul-2026
IBRD-92520	Effective	30-Sep-2024	30-Sep-2025	31-Mar-2026	31-Jul-2026

DISBURSEMENTS

Operation Dates & Projection Details

Reasons to change the full Disbursement date and/or the projection

Restructuring, Restructuring; Change in Pace of Implementation

Implementation Start Date

09-Jun-2009

Operation Closing Date

30-Sep-2025

Projected Date for Full Disbursement

31-Mar-2026

Expected Disbursements (in US \$) (Absolute)

Year	Original Estimation at Preparation (Approval Package – 09 Jun 2009)	Revised Estimation	Actual
FY2009	0.00	0.00	0.00
FY2010	50,000,000.00	0.00	0.00
FY2011	50,000,000.00	2,678,757.09	2,678,757.09
FY2012	100,000,000.00	782,596.52	782,596.52
FY2013	210,000,000.00	1,538,487.22	1,538,487.22
FY2014	210,000,000.00	582,603.48	582,603.48
FY2015	200,000,000.00	176,355,897.06	176,355,897.06
FY2016	20,000,000.00	30,716,838.27	30,716,838.27
FY2017	0.00	110,578,102.72	110,578,102.72
FY2018	0.00	166,708,000.08	166,708,000.08
FY2019	0.00	102,390,254.38	102,390,254.38



FY2020	0.00	203,685,368.05	203,685,368.05
FY2021	0.00	84,076,968.13	84,076,968.13
FY2022	0.00	98,294,184.41	98,294,184.41
FY2023	0.00	143,835,852.59	143,835,852.59
FY2024	0.00	49,861,919.15	49,861,919.15
FY2025	0.00	40,787,211.96	40,787,211.96
FY2026	0.00	15,158,958.89	0.00



RESULTS

COUNTRY: Argentina

Matanza-Riachuelo Basin Sustainable Development Project

PDO Indicators by PDO Outcomes

Improve sewerage services in the M-R River Basin by expanding transport and treatment capacity								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
Revise Annual discharge of sewage adequately treated from the Riachuelo System (Left Margin Collector, Dock Sud Pretreatment Plant and Riachuelo Outfall) (Cubic meters/year)	0.00	Apr/2009	0.00	25-Mar-2025	283,824,000	03-Jul-2025	378,432,000.00	Mar/2026
	Comments on achieving targets		Results based on Stage 3 of operation process of the Riachuelo System. The end target of this indicator will be achieve once Component 1 (Lot 1, 2, and 3) works are completed and operational.					
Support a reduction of industrial discharges to the M-R River								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
Revise Volume (mass) of COD pollution load reduction achieved under the project (Tones/year)	0.00	Nov/2015	23.50	25-Mar-2025	23.50	25-Mar-2025	12,437.00	Mar/2026
	Comments on achieving targets		The indicator will achieve the end target once all wastewater treatment facilities are finalized and operational.					
Revise Number of enterprises in the matching grants program that have reduced their discharge loads according to their PRIs (Number)	0.00	Apr/2009	3.00	25-Mar-2025	3.00	25-Mar-2025	3.00	Mar/2026
	Comments on achieving targets		All enterprises in the matching grant programs have complied with PRIs audits.					
Promote environmentally-sustainable land use and drainage planning in the M-R River Basin								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	



	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
Revise Development of a Flood Contingency and Emergency Response Plan for the Basin (Yes/No)	No	Jan/2017	Yes	25-Mar-2025	Yes	25-Mar-2025	Yes	Mar/2026
	Comments on achieving targets		ACUMAR has developed and undergoing the implementation of the Flood Contingency and Emergency Response Plan. The end target has been achieved.					
Strengthen ACUMAR's institutional framework for ongoing and sustainable clean-up of the M-R Basin								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
Revise ACUMAR is fully staffed against its new organigram, operates with its own operating budget and is fully able to fulfill the functions vested in it by law. (Yes/No)	No	Apr/2009	Yes	08-Oct-2024	Yes	08-Oct-2024	Yes	Mar/2026
	Comments on achieving targets		ACUMAR's institutional framework was strengthened. According to internal reports, the basin authority has its own budget and is able to fulfil the functions vested in it by law. The target is achieved.					

Intermediate Results Indicators by Components

Sanitation								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
Linear kilometers of the Left Bank collector (including Baja Costanera bypass collector and the secondary network) completed (Kilometers)	0.00	Apr/2009	28.87	25-Mar-2025	28.87	25-Mar-2025	28.80	Mar/2026
	Comments on achieving targets		Lot 1 contract is complete.					
Linear kilometers of the Riachuelo outfall completed (Kilometers)	0.00	Apr/2009	11.95	25-Mar-2025	11.95	25-Mar-2025	11.90	Mar/2026
	Comments on achieving targets		Lot 3 works finalized.					
Industrial Pollution Abatement								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
	0.00	Apr/2009	107.00	25-Mar-2025	107.00	25-Mar-2025	800.00	Mar/2026



Number of annual field audits conducted by ACUMAR, including sampling/lab tests of enterprises of the basin. (Number)	Comments on achieving targets		The reported number of annual audits corresponds to the period between January and April 2024					
Environmental Territorial Management								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
Number of beneficiaries with improved access to water and sanitation services in poor settlements and low-income neighborhoods. (Number)	0.00	Nov/2015	76,800.00	25-Mar-2025	76,800.00	25-Mar-2025	50,000.00	Mar/2026
	Comments on achieving targets		The end target has been achieved in November 2022, and the result comprises beneficiaries from finalized water and sanitation works in Marcos Paz, Cañuelas and Villa 21-24.					
Revise Increase in connections to improved water supply services for female-headed single parent households (Percentage)	0.00	Mar/2021	0.00	25-Mar-2025	1.20	25-Mar-2025	5.00	Mar/2026
	Comments on achieving targets		Results shared by ACUMAR based on AySA's and ABSA's Master Plan, AySA's and ABSA's Annual Report, National Census of Households and Housing and Permanent Household Survey from INDEC.					
Revise Increase in sewerage connections for female-headed single parent households (Percentage)	0.00	Mar/2021	0.00	25-Mar-2025	0.30	25-Mar-2025	5.00	Mar/2026
	Comments on achieving targets		Results shared by ACUMAR based on AySA's and ABSA's Master Plan, AySA's and ABSA's Annual Report, National Census of Households and Housing and Permanent Household Survey from INDEC.					
Institutional Strengthening and Project Management								
Indicator Name	Baseline		Actual (Previous)		Actual (Current)		Closing Period	
	Result	Month/Year	Result	Date	Result	Date	Result	Month/Year
Development of a new organigram and staffing plans for ACUMAR (Yes/No)	No	Apr/2009	Yes	25-Mar-2025	Yes	25-Mar-2025	Yes	Mar/2026
	Comments on achieving targets		As informed by ACUMAR's internal reports, this indicator's target is achieved.					
Percentage of complaints and grievances received on the Riachuelo System works by AySA that are responded within 48 hours (Percentage)	0.00	Dec/2018	100.00	25-Mar-2025	100.00	25-Mar-2025	100.00	Mar/2026
	Comments on achieving targets		The reported number of complaints and grievances corresponds to the period between January and April 2024.					
	0.00	Dec/2018	100.00	25-Mar-2025	100.00	25-Mar-2025	100.00	Mar/2026



Percentage of complaints and grievances on the Riachuelo System that are resolved. (Percentage)	Comments on achieving targets	The reported number of complaints and grievances corresponds to the period between January and April 2024. Progress has been made with respect to the previously reported value.
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